

Ray Dalio's Warnings: Investment Education Workbook

Purpose: This workbook is designed to help you process and apply the educational content from the video "Ray Dalio's Warnings on Fiat Currency, Gold, Capital Wars, and U.S. Debt."

How to Use: As you watch the video, use this workbook to take notes, answer reflection questions, and think critically about your own financial education journey. There are no right or wrong answers—this is about YOUR learning process.

EDUCATIONAL PURPOSES ONLY

This workbook is for educational purposes only and does not constitute financial, investment, tax, or legal advice. The information presented is designed to help you learn about economic concepts and investment principles. All investing involves risk of loss. Always consult with a qualified financial advisor before making investment decisions.

Section 1: Understanding Fiat Currency Erosion

Key Data Point from Video:

In 2025, the U.S. dollar declined **39% against gold** , while the S&P 500 gained 18% in dollar terms but actually **lost 28% when measured in gold** .

Reflection Question #1:

What does it mean when your investments go "up" in dollars but "down" in gold? How does this change your understanding of what "gains" really mean?

Reflection Question #2:

According to the video, the U.S. national debt is **\$38.4 trillion** and growing **\$6.12 billion per day** . If the government can't cut spending or raise taxes enough, what is the third option mentioned in the video?

Personal Assessment:

What percentage of your current savings and investments are denominated in U.S. dollars? (Include: checking accounts, savings accounts, U.S. stocks, U.S. bonds, etc.)

How would a 30% decline in the dollar's purchasing power affect your financial situation over the next 10 years?



Key Concepts to Remember:

- ☐ **Late Stage Debt Cycle:** When debt grows faster than the economy's ability to service it
- ☐ **Currency Debasement:** When governments print money, each dollar becomes worth less
- ☐ **Real vs. Nominal Returns:** Gains measured in dollars vs. gains measured in purchasing power

Section 2: Gold as a Reserve Asset



Key Data Point from Video:

Gold returned **65% in 2025** , outperforming the S&P 500's 18% by 47 percentage points. Central banks purchased **634 tons of gold** through Q3 2025 and are projected to buy **755-1,100 tons in 2026** .



Reflection Question #3:

The video explained that gold is the "second-largest reserve currency" in the world. Why do you think central banks are buying gold at record levels?



Reflection Question #4:

What does "no counterparty risk" mean? How is gold different from stocks, bonds, or even Bitcoin in this respect?



Personal Assessment:

Ray Dalio recommends a 5-15% allocation to gold as portfolio insurance. Do you currently own any gold (physical, ETFs, or mining stocks)? If yes, what percentage of your portfolio? If no, what has prevented you from considering it?



Gold Investment Options Mentioned in Video:

- ☐ **Physical Gold:** Coins (American Eagles, Canadian Maple Leafs) or bars - Direct ownership, requires secure storage
- ☐ **Gold ETFs:** GLD, IAU, PHYS - More liquid, easier to trade, lower storage costs
- ☐ **Gold Mining Stocks:** GDX - Higher risk, leveraged exposure to gold prices

Section 3: Capital Wars and Geopolitical Shifts

Key Data Point from Video:

China has reduced U.S. Treasury holdings by **19% over three years** to \$682.6 billion (lowest since 2008), while accumulating **401 tons of gold** over 13 consecutive months. Foreign ownership of U.S. debt has fallen from over 50% to **30%**.

Reflection Question #5:

The video explained that "capital wars" are when money itself becomes a weapon. What were the three examples of capital war tactics mentioned? (Hint: asset freezes, sanctions, payment systems)

Reflection Question #6:

When the U.S. froze Russian assets in 2022, how did that affect other countries' trust in holding their reserves in dollars? What alternatives are they building?



Critical Thinking:

If BRICS nations (representing 46% of global population and 36% of global GDP) successfully create an alternative to the U.S. dollar for international trade, how might that affect the value of your dollar-denominated assets?



Alternative Payment Systems Mentioned:

- ☐ **BRICS Pay:** Reduced USD usage in intra-bloc trade by two-thirds
- ☐ **China's CIPS:** Cross-Border Interbank Payment System, expanding globally
- ☐ **BRICS "Unit":** Gold-backed settlement currency (40% gold + 60% BRICS currencies)

Section 4: The U.S. Debt Challenge

Key Data Point from Video:

U.S. interest payments reached **\$1.21 trillion in FY 2025** (17% of federal spending), projected to reach **\$1.8 trillion by 2035**. The debt-to-GDP ratio is approximately **120%** and projected to reach **172% by 2054**.

Reflection Question #7:

The video described a "debt death spiral." Explain in your own words how this spiral works. (Hint: It involves borrowing to pay interest on previous borrowing)

Reflection Question #8:

The video presented three options for dealing with unsustainable debt: raise taxes, cut spending, or print money. Why are the first two politically difficult, and why is the third option the "path of least resistance"?



Personal Impact:

Ray Dalio stated that "grandchildren will be paying" for this debt in "devalued dollars." If you're a younger investor (under 50), how does this intergenerational wealth transfer affect your retirement planning?



Four Reasons "This Time Is Different" (from video):

- ☐ Foreign buyers are disappearing (ownership down from 50%+ to 30%)
- ☐ Interest rates are structurally higher (can't return to near-zero without destroying dollar)
- ☐ Entitlement spending is locked in (Social Security, Medicare on autopilot)
- ☐ Political dysfunction prevents fiscal reform

Section 5: Your Action Plan



Self-Assessment Checklist:

Based on the educational content in the video, which of the following areas do you need to research further?

- ☐ Understanding how inflation affects my purchasing power over time
- ☐ Learning about portfolio diversification beyond U.S. assets
- ☐ Researching different types of gold investments (physical, ETFs, mining stocks)
- ☐ Understanding the difference between nominal returns and real returns
- ☐ Evaluating my current portfolio's exposure to dollar devaluation risk
- ☐ Learning about international equities and non-dollar assets
- ☐ Understanding how central bank policies affect my investments



Education Goals:

What are THREE specific topics from this video that you want to research more deeply before making any portfolio decisions?

 Action Items:

The video presented a 5-step action plan. Which steps are you prepared to take in the next 30 days to enhance your financial education?

- ☐ **Step 1: Educate Yourself** - Continue learning from diverse sources about monetary policy and portfolio diversification
- ☐ **Step 2: Assess Current Portfolio** - Calculate your exposure to dollar-denominated assets
- ☐ **Step 3: Research Diversification Options** - Study international equities, gold, and other alternatives
- ☐ **Step 4: Consult a Professional** - Schedule a meeting with a qualified financial advisor to discuss your specific situation
- ☐ **Step 5: Think Long-Term** - Develop a 10-20 year investment education plan

Continue Your Investment Education

You're tired of watching your money sit idle while inflation eats away at your purchasing power, aren't you? While others struggle with investment decisions, educated investors are building their knowledge with research-backed strategies. Felix & Friends provides educational resources and research to help inform your investment decisions.

With the Intelligence Bundle, you'll get:

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Final Reflection



Key Takeaways:

What are the THREE most important things you learned from this video that changed how you think about your investments?

? Questions for Your Financial Advisor:

Based on what you learned, what questions will you ask your financial advisor at your next meeting?

Important Disclaimers:

Educational Content Only: This workbook and the accompanying video are for educational purposes only. They are not intended to provide, and should not be relied upon for, investment, accounting, legal, or tax advice. The information presented represents opinions and general educational content.

No Personalized Advice: Felix & Friends provides educational content and research opinions only, not personalized investment advice. The suggestions in the video regarding portfolio allocations (such as the 5-15% gold allocation) are educational examples based on Ray Dalio's publicly stated opinions, not recommendations tailored to your personal financial situation.

Investment Risks: All investments involve risk of loss. Past performance is not indicative of future results. The performance data cited in the video (such as gold's 65% return in 2025 or the S&P 500's performance) are historical facts for educational purposes and do not guarantee future results. Individual results may vary.

Consult a Professional: Before making any investment decisions, consult with a qualified financial advisor who can assess your personal financial situation, risk tolerance, investment objectives, and time horizon.

No Guarantees: There is no guarantee that any investment strategy will be successful. The economic scenarios discussed in the video are possibilities, not certainties. Economic conditions, government policies, and market dynamics can change in unpredictable ways.

Data Sources: All data presented in the video and this workbook are from publicly available sources current as of the video production date. Economic data, market prices, and geopolitical situations may have changed since publication.

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